Investment Note – Zomato Ltd

Investment View: Positive (Accumulation Bias)

Zomato is moving from a growth-led business to a profitability-led business. The opportunity lies in the gap between improving unit economics and market perception, with Blinkit acting as the key variable for future earnings expansion.

Zomato's B2C GOV grew **57% YoY**, while Adjusted EBITDA grew **128% YoY**, indicating early operating leverage.
(Source: Q3FY25 shareholder letter)

What is Mispriced

The market continues to anchor on Zomato's past losses and competitive intensity, while ignoring that profitability has already started improving.

Margins have improved despite moderation in growth, indicating a shift in business quality.

This mispricing is driven by two gaps:

- Food delivery competition has rationalized, with focus shifting to unit economics rather than discounting
- Blinkit is still viewed as a drag, while its improving unit economics are not fully appreciated

"The market remains focused on growth visibility, while the improvement in profitability is still underappreciated."

Core Business Drivers

1. Food Delivery: From Growth to Profitability

Even with moderate growth, unit economics are improving structurally.

- Better rider utilization
- Stable take rates
- Lower incremental delivery costs

This indicates that incremental orders are now more profitable, not just higher in volume.

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2. Blinkit: Optionality or Necessity?

Blinkit is growing rapidly **(~120% YoY GOV)**, but the key question is not growth—it is profitability.

Losses today are driven by accelerated expansion, not weak unit economics.

The key question is:

Can Blinkit scale profitably?

Structural Question: Can Zomato Work Without Blinkit?

Food delivery is improving, but it remains a low-frequency category.

On its own, it may not be enough to:

- Drive high customer engagement
- Fully utilize logistics infrastructure
- Maximize long-term operating leverage

Quick commerce increases frequency, engagement, and utilization.

The question is not whether Zomato needs Blinkit for growth,
but whether it needs Blinkit for better economics.

Reality Check & Industry Direction

This shift is not unique to Zomato.

Swiggy's continued investment in Instamart shows that quick commerce is becoming a structural part of the ecosystem.

This suggests:

- The model is industry-validated

Consumer Shift

User behaviour is evolving:

From: *"What do I want to eat?"*
To: *"What do I need right now?"*

Food delivery solves specific demand.
Quick commerce solves frequent demand.

Over time, platforms that combine both may have better:

- Retention
- Frequency
- Economics

Operating Leverage

The cost base is largely fixed.

As order volume grows:

- More revenue flows through the same infrastructure
- EBITDA grows faster than revenue

This is already visible in current numbers.

Key Trigger

Sustained improvement in:

- Food delivery margins
- Reduction in Blinkit losses

over the next 2–3 quarters could drive a rerating.

Key Monitorables

- Margin trajectory in food delivery
- Pace of Blinkit moving toward profitability

These determine whether the thesis is playing out—not price.

Risks

- Re-intensification of competition (pricing pressure)
- Slower-than-expected Blinkit breakeven
- Demand sensitivity

The key risk is not business viability, but timing of profitability visibility.

Variant Perception

The market continues to view Blinkit as a drag due to ongoing losses. However, this view may be incomplete, as current losses are primarily a function of accelerated expansion rather than structural inefficiency.

As store maturity improves, Blinkit has the potential to shift from a drag to a contributor, which may not yet be fully reflected in expectations.

Conclusion

Zomato is no longer just a growth story—it is slowly becoming a profitability story.

The market is still reacting to what the business was, not what it is becoming.

Food delivery is already improving, while Blinkit remains the key variable. The current trajectory suggests that profitability improvement is already underway, and its execution will determine the extent of further upside.

This is less a question of whether Zomato can grow, and more a question of how efficiently that growth converts into earnings.
